



## **Fundamentals of Human Resource Management (HRM1)**

### **Module 8: Performance Appraisal and Management**

#### **Lesson 1: Performance Appraisal**

#### Lesson Notes

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## 360 Degree Feedback

360 degree feedback is a performance evaluation method that gathers feedback from multiple sources, including supervisors, peers, subordinates, and sometimes clients or customers. Rather than relying on a single supervisor's view, this approach aims to provide a well rounded picture of an employee's strengths, areas for improvement, and how their performance affects the wider team and organisation. Feedback from multiple people offers insights a single source might overlook (Bracken, Rose, & Church, 2016).

The primary advantage of 360 degree feedback is increased self awareness. Employees are exposed to a variety of viewpoints, allowing them to consider their own actions and interpersonal skills from several angles at once. London and Smither (2002) note this approach is especially useful for identifying soft skills such as teamwork and flexibility, which matter for both professional and personal growth. By encouraging regular communication and openness to feedback, 360 degree feedback can help build a culture of accountability and continuous improvement.

Without proper guidance, however, feedback from several sources can sometimes conflict or become difficult to interpret, and bias remains possible where ratings are influenced by personal relationships. Clear communication, training for participants, and organised follow up are all necessary for 360 degree feedback to work well in practice (Nowack & Mashili, 2012).

Key benefits include comprehensive feedback that reduces bias, stronger team development and accountability, clearer identification of training needs, and reduced risk of discrimination stemming from a single manager's viewpoint. Real challenges include implementation complexity if not properly integrated into the wider performance management system, a tendency to focus too heavily on negatives if not well structured, uncertainty employees may feel due to anonymous feedback sources, and the possibility that peers or subordinates may not always provide fully objective input.

A Ugandan hospital introducing 360 degree feedback for ward supervisors might gather input from doctors, nursing staff, and even patients on communication and responsiveness, giving a supervisor a far fuller picture than an annual review from the hospital administrator alone would provide.

**Reflect:** *If you were designing 360 degree feedback for a role you know well, who would you include as feedback sources, and who, if anyone, would you deliberately leave out, and why?*

## Performance Appraisal Rating Scales

Performance appraisal rating scales are structured techniques that compare employees to predetermined standards, offering a systematic framework for evaluating aspects of work performance. Frequently used to speed up and standardise performance reviews, they typically use descriptive labels, such as excellent, meets expectations, or needs improvement, or numerical values expressing how well someone performs on dimensions like communication, teamwork, productivity, or job expertise (Sullivan & Garland, 2010).

The Likert scale, the most popular type, assigns numerical values, commonly one to five or one to seven, to different performance levels, making it easy to assess performance across multiple dimensions. The Behaviourally Anchored Rating Scale, commonly abbreviated BARS, is considered especially effective because of its specificity, associating each rating level with concrete behavioural examples, such as always completes tasks ahead of schedule versus sometimes misses deadlines, which reduces subjectivity compared to a vague numerical label alone (Borman, Buck, & Hanson, 2010).

Other common formats include numerical scales, assigning clear numeric values for quantifiable metrics, descriptive scales, using detailed written descriptions for more nuanced evaluation, and graphic rating scales, providing a visual representation of performance levels. Popular scale lengths include a five point scale ranging from unacceptable to distinguished, a three point scale using categories like exceeds expectations, effective, and needs improvement, and a four point scale that deliberately removes a neutral midpoint, forcing a more definitive judgement.

Rating scales offer real advantages: standardisation across all employees, objective and quantifiable measurement, clearer identification of areas for development, and ease of administration for both appraisers and employees. Real disadvantages exist too, including severity bias, where certain raters consistently score higher or lower than others, and the halo effect, where one strongly positive trait unfairly colours the entire rating. These risks can be reduced through validation sessions and proper training for appraisers on how to use the scales correctly (Bretz, Milkovich, & Read, 2010).

A Ugandan logistics company evaluating delivery drivers might use a BARS scale specifically anchored to observable behaviours, such as always inspects the vehicle before departure versus occasionally skips the pre-trip check, since this gives far clearer, more defensible feedback than a generic numerical score alone.

**Reflect:** Between a simple numerical scale and a detailed BARS scale, which would you recommend for a small organisation with only one or two people responsible for conducting all appraisals, and why?

## Choosing the Right Scale, and Best Practices

Selecting the right rating scale depends on an organisation's feedback culture, the type of performance review needed, industry requirements, scale complexity, and the training resources actually available to support it. A large, well resourced organisation may manage a detailed BARS system well, while a small organisation may find a simple three point scale more sustainable to actually use consistently.

Good practice when implementing rating scales includes ensuring clear descriptors at every level, maintaining consistent increments between levels, including concrete anchor behaviours wherever possible, and avoiding cultural bias in how descriptors are worded. Scales should be combined with regular feedback conversations, not treated as a once a year, stand alone event, and ratings should be periodically calibrated across departments to prevent one manager's standards from being noticeably harsher or more lenient than another's.

Closing thought for this lesson: no single rating scale is inherently correct. The right choice depends on matching the scale's complexity to the organisation's actual capacity to use it well, since even the most sophisticated scale fails if managers are never properly trained to apply it consistently.